

APPLICATION BY DEBENTURE TRUSTEE UNDER SECTION 71 (10)

OF THE COMPANIES ACT, 2013

(UNDER RULE 73, PART VIII OF THE NATIONAL COMPANY LAW TRIBUNAL RULES, 2016)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

MUMBAI BENCH, MUMBAI

Company Petition No. 697/2017

IN THE MATTER OF

CATALYST TRUSTEESHIP LIMITED,

GDA House, Plot No. 85,

Bhusari Colony, (Right), Paud Road,

Pune 411 038

... DEBENTURE TRUSTEE

/APPLICANT

AND

D.S. KULKARNI DEVELOPERS LIMITED,

Registered Office : 1187/60,

J.M. Road, Shivajinagar,

Pune 411 005

... COMPANY

SYNOPSIS

1. The Debenture Trustee Applicant above named is a Company incorporated under the erstwhile Companies Act, 1956 having its registered office mentioned in the title above and has been established to provide trusteeship services and acting as trustees for various parties. The Applicant is also registered with the Securities and Exchange Board of India (SEBI) as a Debenture Trustee under the Securities Exchange Board of India (Debenture Trustees) Regulations, 1993 as



amended and has been functioning as a Debenture Trustees ever since 1998 for various companies.

2. The Company above named is a Company incorporated under the erstwhile Companies Act, 1956 having its registered office mentioned in the title above and is engaged in the business as Builders and Developers.
3. The Company had passed a Resolution at its Annual General Meeting held on 27/09/2008 in accordance with Section 293 (1) (d) of the erstwhile Companies Act, 1956 vide which the Board of Directors were authorized to borrow any sum or sums of money from time to time with certain limits.

In pursuance of the aforesaid Resolution of the shareholders, the Board of Directors of the Company at their meeting held on 08/04/2014 authorized issue of Secured Redeemable Non-convertible Debentures for a maximum sum of Rs. 25,000 lakhs in one or more tranches. The Company thereafter vide its letter dt. 29/05/2014 appointed the Applicant to act as the Debenture Trustee for the said issue and the Applicant thereafter entered into an agreement with the Company to act as the Debenture Trustee for the said Issue and the Applicant thereafter entered into an Agreement with the Company to act as the Debenture Trustee for the said issue by the Debenture Trustee Agreement dated 04/07/2014 in compliance with the provisions of Regulation 15 of the SEBI (Debenture Trustee) Regulations, 1993 as amended read with Sec. 71 of the Companies Act, 2013 and other applicable SEBI Regulations.



The Applicant thus became the Debenture Trustee for and on behalf of the Debenture holders.

4. The Board of Directors in their subsequent meeting held on 10/07/2014 decided to issue Secured Redemable Non-convertible Debentures of face value of Rs. 5,000/- each for Option I, II & IV and Rs. 25,000/- each for Option III, totaling to Rs. 10,000/- lakhs with an option to retain oversubscription up to Rs. 10,000/- lakhs for issuance of additional debentures to a total up to Rs. 20,000/- lakhs. The Board of Directors also approved the draft prospectus to be filed with Stock Exchange. The Company accordingly filed the prospectus dated 28/07/2014 with the Registrar of Companies, Maharashtra at Pune, BSE Ltd. and SEBI in accordance with the SEBI (Issue and Listing of Debt Securities) Regulations, 2008 as amended.
5. The Company received applications for allotment of debentures aggregating Rs. 111.69 crores and the company proposed to allot debentures accordingly not exceeding Rs. 112 crores as per the basis of allotment to be approved by BSE Ltd.
6. The Applicant and the Company thereafter entered into the Debenture Trust-cum-Mortgage Deed on 05/09/2014 in compliance with the terms of the Issue of the Debentures which required that the payment and due discharge of the debentures would be secured by a first and exclusive charge by way of a mortgage of the immovable properties called as 'Security Land' in the said Deed with an asset cover of minimum one hundred percent (100%) of the total



outstanding amount of the Debentures including Principal and Interest thereon, at all times, till the debentures are redeemed and repaid in full. The Board of Directors of the Company had been already empowered to create mortgage/s / charge over all or any of the company's immovable properties by the shareholders by Resolution dated 28/09/1992 passed in Annual General Meeting.

7. The Company accordingly, vide the aforesaid Debenture Trust-cum-Mortgage Deed dated 05/09/2014, mortgaged the security land comprising of various piece and parcels of land situated at village Fursungi, Taluka Haveli, Dist. Pune, situated within the limits of Grampanchayat Fursungi of 12.5201 hectares of land including the respective FSI and the structures constructed or to be constructed, to maintain an asset cover of minimum 100% of the total outstanding amount of debentures. The land is specifically mentioned in Sch. III of the Deed dated 05/09/2014.
8. The company accordingly allotted the debentures on 06/09/2014 in four Options carrying interest rates and Face Values as under:
 - 1) Option - I, the payment date falling 36 months after the Deemed Date of Allotment with face value of Rs. 5,000/- and carrying interest at the fixed coupon rate of 12.50% per annum payable quarterly.
 - 2) Option - II, the payment date falling 66 months after the Deemed Date of Allotment with face value of Rs. 5,000/- with cumulative interest payable after 66 months with double the face value of the debentures.



- 3) Option – III, the payment date falling 72 months after the Deemed Date of Allotment with a face value of Rs. 25,000/- carrying fixed coupon rate of interest of 12.65% payable annually, and
- 4) Option IV, the payment date falling 84 months after the Deemed Date of Allotment with a face value of Rs. 5,000/- carrying fixed coupon interest of 12.75% per annum payable monthly.

The dates of maturity of all these options were respectively as under :

- 1) Option – I – 06/09/2017
- 2) Option – II – 06/03/2020
- 3) Option – III – 06/09/2020
- 4) Option – IV - -06/07/2021

9. The Trust-cum-Mortgage Deed specifies in its Clause 17, the concept of Default and gives the events which will be treated as Default on the part of the company. The said provisions, inter alia, provide the following instances as default which are relevant for the purpose of the present Application of the Debenture Trustee Applicant.

17.2.1 Default is committed in payment of the Redemption Amount of the Non-Convertible Debentures on the Redemption Date.

17.2.2 Two (2) consecutive defaults are committed in payment of Interest Amount



on the NCDs on the Interest Payment Date.

17.2.5 If there is reasonable apprehension that the Company is unable to pay its debts or proceedings for taking it into liquidation, either voluntarily or compulsorily may be or have been admitted by the Court/Tribunal.

17.2.10 If, any extra-ordinary circumstances have occurred which make it improbable for the Company to fulfill its obligation under these presents and/or the Non-Convertible Debentures.

17.2.12 If, the Company is unable to pay its debts within the meaning of the Companies Act 2013 or if the Company is carrying on business at a loss and it appears to the Debenture Trustee that continuation of its business will endanger the security hereby created.

10. The aforesaid Trust-cum-Mortgage Deed also provides under Clause 17(3) that if the company fails to pay principal and/or interest on any Option, it shall be deemed to be a default for all the Debentures outstanding across all the Options and the amounts outstanding under all Options shall become immediately due and payable and the Debenture Trustee shall be entitled to initiate action against the company.



11. In the context of facts mentioned above and the provisions of law, the Company committed default in payment of interest due on debentures under Option IV on 01/07/2017 and 01/08/2017. The Company also committed a default in payment of interest due on debentures under Option I on 01/07/2017 and also the principal and interest amount due on redemption date viz., 06/09/2017.
12. In view of the Company having committed two consecutive defaults in payment of interest on the debentures, the above mentioned Clause 17.2.2 came into operation forthwith and the Debenture Trustee Applicant became entitled to take actions under the Trust Deed against the Company. The Debenture Trustee Applicant, therefore, immediately issued a notice vide its letter dated 02/08/2017 to the Company advising it to pay the interest due immediately and in any case not later than the period of 60 days. This notice was given in exercise of the Trustee's powers under Clause 17.6 of the aforesaid Deed. The Applicant Trustee also vide this letter advised the company to pay the interest and also asked for the default interest for the defaulted period as provided in the Deed. The Applicant also advised the Company to appoint the Applicant's nominee as a Director on the Board of Directors of the Company in terms of Clause 17.5 of the Debenture Trust-cum-Mortgage Deed.
13. The Debenture Trustee Applicant further issued a notice to the Company vide its letter dated 08/09/2017 advising it to pay the amount of debentures due on redemption in respect of Option I together with interest for delayed period.



14. Despite the aforesaid notice, the company not only failed to pay the said due interest and default interest on debentures under Option I & IV but also committed default in redeeming the debentures under Option-I on the maturity date i.e. on 06/09/2017. This was an aggravating circumstance.
15. As a measure of control and in pursuance of Clause 17.5 the Applicant Trustee nominated its representative on the Board of the Company who was inducted on 07/09/2017.
16. On 03/07/2017 the credit rating of the debentures of the company was down-graded from BBB+ (Triple B+) to C-Negative (Single C outlook Negative).
17. To add to the mounting difficulties being faced by the debenture holders, the company is in the whirlpool of claims of depositors and bankers and the prospects of the company paying the due interest and redeeming the debentures have become bleak and hence there is a reasonable apprehension that the company is unable to pay its debts. The company has involved itself in extraordinary circumstances making it impossible for the company to fulfill these obligations of the debentures. It is also clear that the company is carrying on business at loss and clear to the Debenture Trustee that continuation of its business will endanger the security created under the Trust-cum-Mortgage Deed. The Company has also expressly admitted in writing in various documents and public pronouncements its inability to pay its debts on respective due dates.



18. All the circumstances mentioned in para-17 above constitute several Events of Default as contemplated under Clause 17 of the Debenture Trust-cum-Mortgage Deed.
19. Hence this Application under Section 71 (10) of the Companies Act, 2013.

~~Pune~~/Mumbai

Date : 17/11/2017


Advocate for Applicant

For CATALYST TRUSTEESHIP LIMITED


Authorized Signatory



Signature of the Debenture
Trustee Applicant

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Company Petition No. ⁶⁹⁷/2017

IN THE MATTER OF SECTION 71 (10)
OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF CATALYST
TRUSTEESHIP LIMITED

(Formerly known as GDA
Trusteeship Ltd.,)

AND

IN THE MATTER OF D.S. KULKARNI
DEVELOPERS LIMITED, PUNE

1.	Name and address of the Debenture Trustee Applicant	CATALYST TRUSTEESHIP LIMITED, (Formerly known as GDA Trusteeship Ltd.) GDA House, Plot No. 85, Bhusari Colony (Right), Paud Road, Pune 411 038.
2.	Name of the Company and address of its	D.S. KULKARNI DEVELOPERS LIMITED, Registered Office : 1187/60, J.M. Road, Shivajinagar, Pune 411 005



	Registered Office	
3.	Names of the Debenture holders with full address	There are 8,212 number of Debenture holders, as on 03.11.2017, as per the information given by Registrars & Transfer Agents appointed by the Company. The Applicant craves leave to file the statement showing names and addresses and other particulars of each debenture holders in any other format if found necessary. CD containing names and addresses of debenture holders as on 3.11.2017 is attached herewith as per Annexure 'A'.
4.	Amount of Debentures	The Company has issued non-convertible debentures of Rs. 111.69 crores on 06/09/2014 by way of 'Public Issue'.
5.	Debenture Receipts No. and Dates	In pursuance of the Information Memorandum/ Prospectus, the Company issued Debentures of Rs. 111.69 crores to various debenture holders in DEMAT and physical form. The debentures have been reportedly credited to respective DEMAT accounts of the allottees and the physical debentures have been dispatched to the allottees.



		Applicant Company has been appointed as the Debenture Trustee as per the provisions of the Companies Act, 2013, and SEBI (Debenture Trustees) Regulations, 1993. The Applicant craves leave to file the list of Debenture holders with receipt numbers and value. CD containing Folio / DP-ID of debenture holders, ISIN and number of debentures held as on 3.11.2017 is attached herewith as per Annexure A.		
6.	Terms and Conditions of Deposit / Debenture as also Date of Maturity of Deposit:	Option	Interest Payment	Maturity Date
		I	Quarterly	06/09/2017
		II	Cumulative	06/03/2020
		III	Yearly	06/09/2020
		IV	Monthly	06/07/2021
		Other terms and conditions are more specifically mentioned in Registered Debenture Trust-cum-Mortgage Deed dated 05/09/2014 as per Annexure-B.		
7.	Details of the Payments made by the Company, if any.	It is reported by the Issuer Company, that it has paid the amounts of interest due from time to time till 30/06/2017 to all debenture holders.		



8.	Actual Amount due as on date of Application (Principle/ Interest)	The entire principal amount of debentures of Rs. 111.69 crores together with interest thereon at the rate applicable to respective options from 01/07/2017 till date of this application is due.
9.	Details of Correspondence, if any, made between the Debenture Trustee and the Issuer Company. (Copy of Company correspondence enclosed.	Following is the most relevant correspondence as per Annexure-'C-1' to 'C-10'. 1. Letter dt. 29/06/2017 of Issuer Company expressing inability to pay interest due on 01/07/2017. 2. Letter dt. 31/07/2017 to the Stock Exchange by the Issuer Company expressing inability to pay interest due on 01/07/2017 and 01/08/2017. 3. Letter dt. 31/07/2017 to the Stock Exchange by Issuer Company expressing inability to pay interest due on 01/07/2017 and 01/08/2017. 4. Letter dt. 02/08/2017 of Applicant demanding the payment of interest due on 01/07/2017 and 01/08/2017. 5. Letter dated 01/09/2017 of the Company to the Stock Exchange. 6. Letter dated 08/09/2017 of the Trustee Applicant advising the



		Company to pay the amount of Debentures due on redemption in respect of Option-I together with interest for delayed period. 7. Letter dt. 03/10/2017 of Applicant demanding entire amount under debentures issued by the Company together with interest, as per the provision of clause No. 17 of the Debenture Trust-cum-Mortgage Deed dated 05/09/2014. 8. Applicant's letter dated 10/10/2017 stating that it would take further action for redemption of the debentures if the Company failed to get approval of debenture holders for revised redemption plan proposed by the Company. 9. Company's letter dated 10/10/2017 stating that the Company was proposing to hold a meeting of the debenture holders. 10. Applicant's letter dated 07/11/2017 informing the Company that it would take appropriate action including the action of filing an application before NCLT for recovery
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		of dues.
10.	Any other particulars as may be considered relevant.	Applicant may take appropriate action against the Company as per the provisions of Insolvency and Bankruptcy Code, 2016, SEBI (Debenture Trustee) Regulations, 1993 or any other relevant / applicable Acts / Regulations.

The Debenture Trustee, therefore, prays –

- (i) That the Company above named may be directed to make repayment of the aforesaid Debentures along with interest due thereon in accordance with the Terms and Conditions of the Debentures and the Debenture Trust-cum-Mortgage Deed dated 05/09/2014.
- (ii) That such further Orders be passed as the Tribunal deems fit in the circumstances of the case.

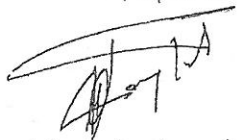
Pune/ Mumbai

For CATALYST TRUSTEESHIP LIMITED


Authorised Signatory



Date : 17/11/2017 Signature of the Debenture Trustee Applicant



Advocate for Applicant